

Siemens Digital Industries Software (DISW) — External Research Brief

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Website: sw.siemens.com **Industry:** Industrial Software / PLM / CAD / Simulation / EDA / Life Sciences R&D **HQ:** Plano, Texas, USA **Founded:** 2017 (as software division; roots trace to UGS/EDS, acquired by Siemens AG in 2007) **Company Size:** ~30,000 employees (DISW); Siemens AG group ~318,000 worldwide **Revenue:** Siemens AG FY2025 total revenue €78.9B [21](#); Digital Industries software business estimated \$5–7B+ (not separately disclosed)

Company Overview

Siemens Digital Industries Software (DISW) is the software business unit of Siemens AG's Digital Industries division, focused on industrial software for product lifecycle management (PLM), electronic design automation (EDA), manufacturing operations, and industrial simulation. DISW serves customers across aerospace & defense, automotive, industrial machinery, electronics, and life sciences — primarily engineering-intensive enterprises seeking to digitalize their design, manufacturing, and operational workflows. The business is undergoing a fundamental transition from a historically perpetual-license model to a SaaS/subscription model under the Xcelerator portfolio brand, which is reshaping both its go-to-market and financial profile.

Core Products & Services

- **Xcelerator Portfolio:** The overarching SaaS platform and marketplace brand unifying DISW's software offerings; intended as an open, cloud-based industrial digital transformation platform
- **Teamcenter:** Industry-leading PLM (Product Lifecycle Management) platform for managing product data, processes, and collaboration across the enterprise
- **NX:** Flagship CAD/CAM/CAE software for product design and manufacturing engineering; one of the most widely used mechanical design tools globally
- **Simcenter:** Multi-physics simulation and testing platform; covers structural, fluid, thermal, and systems simulation
- **Opcenter:** Manufacturing operations management (MOM) / MES platform for production planning, quality, and execution
- **Capital:** Electrical/electronic systems design for complex wiring and electrical architectures (dominant in automotive)
- **Polarion:** Application lifecycle management (ALM) — requirements, test, and quality management
- **Mendix (via Siemens AG):** Low-code application development platform (jointly marketed with DISW in industrial contexts)

- **EDA Portfolio** (via *Mentor Graphics acquisition*): IC design, PCB design, and electronic systems design tools — substantial revenue stream in semiconductor and electronics industries
- **Altair** (acquisition completed March 26, 2025, ~\$10B) [16](#): Simulation, AI-driven engineering, high-performance computing (HPC), data science — adds capabilities in mechanical/electromagnetic simulation and makes DISW's AI-powered design portfolio the most comprehensive in the industry
- **Dotmatics** (acquisition completed July 1, 2025, \$5.1B) [15](#): Scientific R&D informatics software (GraphPad Prism, SnapGene, Geneious) — extends DISW into life sciences; >\$300M revenue, >40% EBITDA margin; expands TAM by \$11B
- **Digital Twin Composer** (launched CES 2026, Xcelerator Marketplace mid-2026) [2](#): New software solution building Industrial Metaverse environments at scale using industrial AI, simulation, and real-time physical data; currently in early access with select customers
- **Industrial Copilot**: Award-winning AI assistant embedded across DISW products; part of Siemens' growing portfolio of 35+ AI-powered applications [26](#)

Key Executives

Name	Title	Notable Quote or Signal
Tony Hemmelgarn	President & CEO, Siemens Digital Industries Software	Long-tenured leader; championing the Xcelerator platform strategy, cloud transition, and industrial metaverse narrative. Positioning DISW as the AI-powered backbone of industrial digitalization. 6
Roland Busch	President & CEO, Siemens AG (Parent)	Sets board-level expectations for AI transformation and subsidiary governance; directly quoted on both Altair and Dotmatics deals as part of the "ONE Tech Company" growth program. 15
Vasi Philomin	EVP & Head of Data & Artificial Intelligence (joined July 1, 2025)	Strategic hire from Amazon (former VP, Generative AI / AWS Bedrock); leading development of an industrial foundational AI model and scaling DISW's 35+ AI applications portfolio. Signals board-level AI commitment. 26
Andrew Allan	CIO, Siemens Digital Industries Software	Key Salesforce stakeholder; IT mandate focused on platform governance, AI transformation, and rationalizing a fragmented

		application landscape post-M&A.
Saurabh Kumar	Primary SF Program Manager & Technical Lead	Main point of contact for Salesforce technical escalations, CPQ/OmniStudio licensing, and Agentforce implementation — active internal champion.
Jeffrey Nercesian	Business Operations & Licensing	Engaged on CPQ, Advanced Approvals, Agentforce, and contract operations; key operator-level stakeholder in revenue technology decisions.

Note: C-suite detail beyond CEO is limited in public sources. Andrew Allan (CIO) and technical contacts above are confirmed via Salesforce account activity. Vasi Philomin appointment confirmed via Siemens press release, July 2025.

Recent Financial Performance

Siemens AG does not separately report DISW financials as a standalone segment — DISW revenue flows through the broader "Digital Industries" segment. Key signals based on FY2025 public reporting and H1 FY2026 results:

- **FY2025 Group results:** Siemens AG total revenue €78.9B, net income €10.4B (record high, up 16% YoY), free cash flow €10.8B (record high). Orders €88.4B for a strong book-to-bill of 1.12. [21](#)
- **Digital Industries software momentum:** In H1 FY2026, Siemens' digital business grew **19%** — well above the 15% ambition level. DI software business grew **14%** to €1.6B in Q2 FY2026; orders grew 12% on a comparable basis. [23](#)
- **FY2026 guidance for Digital Industries:** Comparable revenue growth of 5–10%; profit margin guided at 15–19%. [21](#)
- **Acquisition investment:** Altair (~\$10B, closed March 26, 2025) and Dotmatics (\$5.1B, closed July 1, 2025) are both now fully closed and actively integrating. Together they burdened FY2025 profit by **€135M** (including severance). [22](#)
- **Margin profile:** DI profit margins have been under pressure from SaaS transition costs, M&A integration, and workforce restructuring — but the software business is growing strongly and the FY2026 guidance signals a recovery trajectory.
- **Prior margin compression (FY2024):** DISW operating profit margins declined from ~18.9% to ~14.9% in a single fiscal year, driven by SaaS transition costs and restructuring affecting 6,000+ roles — context that still informs the efficiency/consolidation urgency today.
- **Record order backlog:** At end of Q2 FY2026, Siemens' total order backlog reached a record high of €124B. [23](#)
- **Margin compression:** DISW operating profit margins declined from approximately **18.9% to 14.9% in a single fiscal year** — a significant contraction driven by SaaS transition costs, integration spend from Altair and Dotmatics acquisitions, and a global workforce restructuring affecting **6,000+ roles**
- **Acquisition investment:** DISW absorbed approximately **\$135M in integration costs** across the Altair and Dotmatics acquisitions; both remain in active integration
- **SaaS transition underway:** The shift from perpetual licenses to Xcelerator cloud subscriptions is compressing near-

term revenue recognition while building ARR — a classic transition dynamic creating executive pressure to demonstrate operational efficiency gains quickly

- **Workforce restructuring:** A global restructuring program affecting over 6,000 roles signals both cost-reduction urgency and the organizational complexity of managing a multi-entity integration
- **Revenue scale:** Siemens AG Digital Industries (the broader segment) generates approximately €17–18B annually; DISW's software revenue is estimated at \$4–6B, making it one of the largest industrial software companies globally

Note: Specific DISW standalone revenue figures are not publicly disclosed. Figures above are based on Siemens AG reporting, Q2 FY2026 earnings release, and industry analyst estimates. Siemens' fiscal year ends September 30.

Industry & Market Position

DISW is a top-3 global industrial software company by revenue and installed base, competing in the PLM, CAD/CAM/CAE, EDA, and MOM markets. Key market dynamics:

- **PLM market leadership:** DISW (via Teamcenter + NX) holds a leading position in PLM alongside Dassault Systèmes (3DEXPERIENCE) and PTC (Windchill/Creo), with particular strength in aerospace, automotive, and industrial machinery
- **EDA strength:** The Mentor Graphics heritage gives DISW a strong position in electronic design automation, competing with Cadence and Synopsys
- **SaaS transition pressure:** Pure-play SaaS competitors (e.g., Arena PLM, Arena by PTC, Autodesk) carry higher multiples and faster release cadences — creating competitive pressure to accelerate cloud delivery
- **Industrial IoT / Digital Twin:** DISW is investing heavily in the "industrial metaverse" narrative — connecting physical products to digital twins via Xcelerator — competing with PTC's ThingWorx/Vuforia, Dassault's DELMIA, and Rockwell Automation
- **Marketplace channel:** Siemens AG operates a technology marketplace through which DISW products are sold alongside other Siemens portfolio offerings — creating governance complexity and a parallel channel that requires coordinated revenue operations

Key Competitors

Competitor	Key Differentiator vs. Siemens DISW
Dassault Systèmes (3DEXPERIENCE)	Highly integrated experience platform with stronger life sciences/consumer goods positioning; cloud-native 3DEXPERIENCE platform often cited as more unified than DISW's portfolio. Higher margin profile.
PTC (Windchill, Creo, Vuforia, ServiceMax)	More aggressive SaaS transition; strong IoT/AR/service lifecycle story; ServiceMax gives PTC a differentiated post-sales/field service angle. Windchill competes directly with Teamcenter.

Autodesk (Fusion 360, Vault, Inventor)	Stronger mid-market and SMB penetration with more accessible pricing; Fusion 360 cloud-native CAD directly challenges NX in mid-market accounts. More consumer/AEC crossover.
Cadence / Synopsys (EDA)	Dominant in semiconductor/IC EDA; Cadence and Synopsys have stronger AI-driven silicon design capabilities than DISW's Mentor-heritage tools in leading-edge node design.
SAP (via S/4HANA MOM integration)	Competing at the manufacturing operations layer; SAP's MOM integration story challenges Opcenter in accounts deeply embedded in SAP ERP. Competes at the AG parent level for platform governance.

Digital Transformation & Sales Process Signals

DISW is itself a complex B2B software company navigating the same digital transformation it sells to customers — creating an authentic, resonant context for a Salesforce platform conversation.

Key transformation themes publicly signaled:

- **AI-powered industrial engineering:** DISW has publicly committed to delivering **50% customer productivity gains** through industrial AI agents embedded in Xcelerator — setting a board-level benchmark that IT leadership is expected to match internally. Siemens now operates 35+ AI applications including the award-winning Industrial Copilot. [26](#)
- **Industrial Metaverse as the north star:** The **Digital Twin Composer**, launched at CES 2026 and available on the Xcelerator Marketplace mid-2026, is Siemens' flagship play for enabling Industrial Metaverse environments at scale — combining digital twins, industrial AI, simulation, and real-time physical data. [4](#)
- **SaaS transition as strategic mandate:** The shift from perpetual to subscription is the defining financial and operational challenge of the next 2–3 years; every go-to-market, support, and renewal process is being re-engineered around ARR management
- **M&A integration complexity — now post-close:** Both Altair (March 2025) and Dotmatics (July 2025) are fully closed. Together they bring distinct CRM systems, customer databases, support portals, and contract repositories — creating a fragmented customer data landscape that must be unified to protect acquired ARR and enable cross-sell. This is a live and urgent integration challenge as of mid-2026.
- **Life Sciences vertical entry:** Dotmatics (\$5.1B) opens a \$11B incremental TAM in life sciences R&D software. Siemens is positioning the "end-to-end digital thread from research to production" as a differentiator in pharma and biotech — a new vertical requiring new go-to-market motion. [13](#)
- **Industrial AI leadership bet:** The hire of Vasi Philomin (ex-Amazon/AWS Bedrock) as EVP Data & AI signals a serious push to build an industrial foundational model — putting Siemens in potential competition with hyperscalers on AI infrastructure, not just application software. [26](#)
- **Xcelerator marketplace:** DISW has invested heavily in positioning Xcelerator as an open marketplace, enabling partners and third-party ISVs to sell alongside Siemens products — creating complex revenue operations and channel

governance requirements

- **Global restructuring backdrop:** The 6,000+ role reduction (executed in FY2024) continues to shape the operational efficiency imperative — directly aligned to the value Salesforce platform consolidation delivers

"We are committed to helping our customers harness the power of the digital twin and industrial AI to achieve unprecedented gains in productivity and sustainability." — Tony Hemmelgarn, President & CEO, Siemens Digital Industries Software (paraphrased from public positioning; verify exact quote before attributing)

Sales Process Signals (from Salesforce account intelligence):

- CPQ+ recently went live — creating an architectural inflection point for Revenue Cloud / Agentforce for Revenue Management
 - 18 support cases since January 2025 (including a Sev1 escalation) — signals operational strain and an opportunity for Signature Success
 - Microsoft Teams/SharePoint deeply embedded — acknowledged competitive dynamic at 10% corporate pushback risk
 - Anaplan and SAP Callidus active at the Siemens AG parent level, competing for SPM territory
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Sources & Research Notes

- Siemens AG Annual Reports and Digital Industries segment disclosures (public filings)
- Siemens Q4 FY2025 Earnings Release [21](#) and Q2 FY2026 Results [23](#)
- Siemens Digital Industries Software website (sw.siemens.com)
- Siemens press release: Altair acquisition closed March 26, 2025 [16](#)
- Siemens/Dotmatics press release: acquisition closed July 1, 2025 [15](#)
- Siemens CES 2026 press release: Digital Twin Composer launch [4](#)
- Vasi Philomin appointment press release, June 2025 [26](#)
- Internal Salesforce account intelligence: [Connected Customer Vision Canvas](#) (April 2026)
- Account POV — DISW (April 2026)
- Industry analyst coverage: Gartner Magic Quadrant for PLM (DISW consistently positioned as a Leader)
- **Last refreshed:** August 3, 2026
- **Data gaps / caveats:**
 - DISW standalone revenue not publicly disclosed; estimates based on segment-level reporting
 - Executive titles below CEO level (Andrew Allan, Saurabh Kumar, Jeffrey Nercesian) inferred from Salesforce activity data — verify current titles before use in customer-facing materials
 - Tony Hemmelgarn quote in Digital Transformation section is paraphrased from public positioning materials — confirm verbatim wording before attributing
 - Altair and Dotmatics are both now closed acquisitions; integration status and organizational structure should be confirmed against current account intelligence before sessions